

performs poorly, buy more of that investment to put my portfolio back in balance.

If you are like most investors, Plan A looks familiar. People tend to put their money into investments that they believe will lead to profitable results in the near term and sell those that do not perform. The goal of Plan A is to “do well,” which is not a quantifiable financial goal. What does “do well” mean? Plan A provides no guidelines for what to buy or when to buy it, or when to sell because of poor performance or changing prospects. Academic research shows that people who trade their accounts based on near-term performance tend to sell investments that eventually perform better than the new investment they buy.

I have talked with thousands of individual investors about their portfolios over the years. It is interesting to ask people what their investment plan has been and if their returns have met their expectations. Most people will say that they have some type of invest plan, and they will say that their performance is generally in line with the markets, but both these statements are wishful thinking. An analysis of their portfolio often shows little evidence that any plan actually exists or has ever existed and that their investment performance tends to be several percentage points below what they guessed it might have been. The sad truth is that a majority of investors choose their stocks, bonds, and mutual funds randomly with little consideration for how they all fit together or the amount they pay in fees, commissions, and other expenses.

CHARACTERISTICS OF A PLAN

Successful investing is a three-step process: (1) plan creation, (2) implementation, and (3) maintenance. It is an important step forward for people to recognize that they need a good investment plan and good investments in the plan to meet their long-term financial objectives. Once people come to that realization, they need a method for creating their plan, which is where this book comes in. Second, then they need to implement the plan, because a good plan not implemented is no plan at all. Finally and most important is a process for maintaining the plan, because discipline drives long-term results.

A good plan has long legs and should last several years without major modifications. Annual reviews and adjustments are appropriate, with major